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A new value strategy in the UK stock market

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Abstract

Purpose – Despite intensive evidence indicating the death of value investing in the US over the past 2 decades, no investigation has been conducted in the UK. This paper aims to examine the recent performance of the original and new value strategies in the UK stock market.

Design/methodology/approach – Our dataset includes all companies listed in the UK from June 1995 to June 2024. To build the original value strategy, we sort all sample stocks according to their book-to-market. For the new value strategy, stocks are ranked on the ratio between cash-based operating profit (CBOP) and market capitalization. We also evaluate the explanatory power of the new value factor (NVF) by employing spanning regressions, Fama-MacBeth cross-sectional, and mean-variance efficiency.

Findings – The original value premium in the UK vanishes after 2006, with a negligible return of only 0.18% per month. By contrast, the new value strategy yields a strong and consistent average return of 1.18%, which is significant after controlling for asset pricing models. The NVF subsumes the original factor and provides sizable alpha in spanning regression as well as a statistically positive premium in the Fama-MacBeth framework. According to mean-variance efficiency, replacing the original value factor with this new one enhances the explanatory power of asset pricing models.

Originality/value – The paper makes two primary contributions. Our findings extend the recent literature on the dismal value premium by focusing on the UK, the biggest stock market in Europe. Our results also speak to the market finance literature. The ratio of CBOP to market capitalization is a reliable predictor of UK stock returns and is a relevant asset pricing factor. These empirical results contribute to both investment decisions and asset pricing.

Keywords Value investing, Operating profit, The UK market, Asset pricing

Paper type Research article

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1. Introduction

Value investing stands as one of the long-recognized and most studied anomalies in the realm of asset pricing. Value stocks are traded at low prices compared to their intrinsic values, whereas growth stocks are considerably expensive relative to their fundamental values. The value premium is the profit of a long-short strategy that buys value stocks and shorts growth stocks. Since the discovery of value strategy by McWilliams (1966), the significance of value premiums has been confirmed in the US and many developed markets from the 1920s to the early 2000s (Basu, 1977; Fama and French, 1992, 1993, 1998, 2006; Chan and Lakonishok, 2004). As a result, Fama and French (1993) build the value factor, which is the return differential between high and low book-to-market (B/M) stocks. This value factor has become a well-known risk factor in asset pricing models. However, many papers demonstrate that the value strategy has lost its potency over the last 2 decades (Asness *et al*., 2015; Kok *et al*., 2017; Fama and French, 2021; Arnott *et al*., 2021; Lev and Anup, 2022; Goncalves and Leonard, 2023).

Despite strong evidence indicating a diminished value premium in the US, no investigation has been conducted in the UK, which has the largest market capitalization in Europe. On a global scale, the UK ranks among the top five biggest stock markets. Hence, the first aim of this paper is to examine the recent performance of the original value strategy based on the B/M of Fama and French (1992) in the UK. From an average of approximately 3% per month between 2000 and 2005, the original value premium drops to only 0.18% from 2006 to 2024. A plausible explanation for this disappointing performance is that book value is no longer a

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complete measure of fundamentals (Arnott *et al*., 2021; Wang, 2024). With the rapid change to a knowledge economy in recent decades, listed firms tend to invest more and more in intangible assets such as software, applications, patents, etc. These intangible assets are not fully reported in financial statements as amortizable assets. As a result, numerous firms with understated book values are considered growth stocks. Meanwhile, their intrinsic values should be considerably higher thanks to a massive investment in intangible assets.

Given the limitation of book value, we propose a new value strategy based on the cash-based operating profit (CBOP) of Ball *et al*. (2016). CBOP represents the operating profit after adjusting for accounting accruals, making it a more reliable indicator of fundamental value than book value for several reasons. Firstly, the explanatory power of the book value of equity mainly comes from its retained earnings component (Ball *et al*., 2020). The contributed capital plays no role in predicting stock returns. Consequently, profit is a more appropriate proxy of fundamental value than the book value of equity. Secondly, operating profit is a reliable measure of economic profitability. We encounter more polluted profitability measures when moving down the income statement (Ho, 2024). Moreover, by subtracting accounting accrual adjustments from operating profit, we extract information about payment shocks and net investment in working capital (Ball *et al*., 2016). As cash receipts and payments cannot be easily manipulated, CBOP is subject to be an accurate measure of current-period profitability.

To compare fundamental value and market price, we estimate the CBOP/M, the ratio between the CBOP and market capitalization. Sorting UK stocks on the CBOP/M from 2000 to 2024, we document a robust and stable value premium of 1.18% per month, with a healthy statistic of 3.615. The new value strategy remains profitable after adjusting for asset pricing models: the CAPM, the Fama-French multi-factor, and the Fletcher *et al*. (2024) 5-factor. Importantly, there is a balance between the profits generated from holding the top decile and short-selling the bottom. The profitability of the new value strategy is recognized across all size terciles, proving that the CBOP/M effect is not restricted to small stocks.

We have developed a new value factor (NVF) based on the CBOP/M. This value factor generates a significant alpha in spanning regressions. In the Fama-MacBeth framework, its premium is also statistically positive, at around 0.47% per month. We observe an enhancement in the explanatory power of asset pricing models by replacing the original value factor with the new one, according to mean-variance efficiency. Given this backdrop, the CBOP/M is a relevant factor priced in UK stock returns.

The paper makes two primary contributions. Our findings extend the recent literature on the vanishing value premium by focusing on the UK, the biggest stock market in Europe. Due to the limitation of book value, the original value strategy based on the B/M no longer earns an impressive premium in the UK market as it did before 2006. Our results also speak to the market finance literature. We complement the recent research of Ball *et al*. (2016) and Wang (2024) by evaluating the performance of their value strategy in a different market. Since the CBOP serves as an appropriate proxy of fundamental value, the CBOP/M is a reliable predictor of UK stock returns and an important asset pricing factor. These empirical results contribute to both investment decisions and asset pricing.

The article proceeds as follows. Section 2 presents the literature review. Section 3 explains the data sample and methodology. Section 4 and Section 5 summarize empirical findings and robustness tests, respectively. Section 6 concludes the paper.

2. Literature review

Value investing is among the oldest and most influential phenomena in asset pricing literature. The initial discourse on value anomaly, credited to McWilliams (1966), showed that stocks with low valuation ratios outperformed those with high ratios in the US from 1953 to 1964. This groundbreaking discovery has sparked various subsequent studies, all highlighting the profitability of value strategy in the US and many developed markets from the 1920s to the early 2000s (Basu, 1977; Fama and French, 1992, 1993, 1998, 2006; Chan and Lakonishok,

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2004). According to Fama and French (2006), the US value premium throughout 1926–2004 is about 0.4%, with a high t-statistic of 3.43. While several measures such as price-to-earnings or price-to-cash-flows could be valuation ratios, the book-to-market is widely used in numerous papers following Fama and French (1993). The value factor, which is the return differential between high-B/M and low-B/M stocks, serves as a well-documented risk factor in a multitude of asset pricing models (Fama and French, 1993, 2015, 2018).

However, the disappointing performance of value strategy in the US has been reported in two recent decades. Using the US monthly data from 1962 through early 2014, Asness *et al.* (2015) document a considerable decrease in the Sharpe ratio of value factor. The Sharpe ratios of the HML during 1971–1980 and 1981–1990 are 0.51 and 0.44, whereas these figures for 1991–2000 and 2001–2014 are substantially lower, at only 0.01 and 0.28. Kok *et al.* (2017) estimate the alphas for the value factor from monthly market model regressions over 1926–2015. The annualized alpha for 2002–2015 is only 0.5%, with a t-statistic of only 0.22, implying that the value premium becomes insignificant from 2002 to 2015. According to Fama and French (2021), the US monthly value premium has rapidly decreased, dropping from 0.36% during 1963–1991 to a mere 0.05% during 1991–2019. Arnott *et al.* (2021) further highlight this trend by reporting a negative return for value factor between 2007 and 2020, at −5.4% per year. If an investor had placed one dollar in the value strategy in 2009, his wealth would have declined by 18% in 2018 (Lev and Anup, 2022). Goncalves and Leonard (2023) declare that the value strategy earns an annual average return of only 1.5% for 1996–2018, whereas the analogous return for 1973–1995 is more than 10%.

Although the recent vanishing value premium in the UK has not been directly investigated, we can observe a declining trend in the extant literature. Initial studies on the UK value strategy are conducted by Gregory *et al.* (2001) and Dimson *et al.* (2003). They state that the return difference between value and growth portfolios is around 0.6% per month over two different periods: 1973–1993 and 1955–2001. Mouselli (2010) reports a slightly lower average value premium of 0.47% from 1991 to 2006, consistent with a value premium of around 0.5% between 1991 and 2007, as shown by Mouselli and Jaafar (2019). Subsequently, the monthly value premium dropped to only 0.37% between 1982 and 2014, according to Sarwar *et al.* (2017). Extending data to 2016, Foye (2018) identifies an insignificant value premium of only 0.27%, which aligns with Artikis's (2018) findings for the 1994–2016 period. Recently, Fletcher *et al.* (2024) discovered that the average return on the value factor during 1983–2022 continues to decrease, reaching approximately 0.26% per month, with a t-statistic of 2. Despite the notable downtrend in the profitability of value strategy in the UK since the early 2000s, there has been no comprehensive investigation into this underperformance. We aim to address this gap in the literature.

Some recent papers have explored the relationship between the CBOP and the cross-section of stock returns in the US market. As a profit measure independent of the timing of cash transactions, the CBOP performs better than operating or gross profits in capturing stock returns in the US from 1963 to 2014 (Ball *et al.*, 2016). Applying the CBOP calculation of Ball *et al.* (2016), Wang (2024) introduces a new value strategy relying on the ratio of CBOP to market capitalization instead of the traditional B/M. Based on a universe of all US stocks from 1963 to 2021, Wang (2024) discovers that this new value strategy generates a statistically significant average return of over 1% per month. Moreover, the new value premium remains robust after adjusting for asset pricing models. Unfortunately, the performance of the new value strategy in other developed markets is unclear. This paper is the pioneer in searching out-of-sample evidence on the new value premium.

3. Methodology

3.1 Data sample

Our dataset includes all companies listed in the UK and covers the period from June 1995 to June 2024. While monthly stock returns are collected from the London Share Price Database,

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accounting data is obtained from DataStream. The data sample is devoid of survivor bias, thanks to covering delisted firms. Two cleanup filters are performed to guarantee the sample's validity and consistency. Firstly, only non-financial stocks listed on the London Stock Exchange are taken into consideration [1]. Financial firms (including banks, insurers, investment funds) and foreign companies are removed. Secondly, firms with missing accounting data or negative book value are also excluded. The final universe comprises approximately 1,700 stocks.

Since market capitalization and stock returns in the prior 5 years are required to build the behavioral financial factor of Daniel *et al*. (2020) (as explained in section 3.3), the first observation of monthly returns starts from July 2000. In contrast, the last observation ends in June 2024.

3.2 Original and new value strategies

We commence our analysis by examining the performance of the original value strategy of Fama and French (1992). At the beginning of July each year between 2000 and 2023, all sample stocks are sorted into deciles based on their B/M ratios. The B/M is the ratio between book value of equity and market capitalization at the end of the previous fiscal year. Then, the value-weighted monthly returns for each decile are computed over the next 12 months. The original value strategy is a long-short portfolio that buys high-B/M stocks and short-sells low-B/M stocks on a monthly basis.

As Ball *et al*. (2016) suggested, we calculate the CBOP as follows:

$$\begin{aligned}\text{Cash-based operating profit} = &\text{Operating profit} + \Delta\,\text{Deferred revenue} \\ &+ \Delta\,\text{Accrued expenses} + \Delta\,\text{Accounts payable} \\ &- \Delta\,\text{Prepaid expense} - \Delta\,\text{Inventory} - \Delta\,\text{Accounts Receivable}\end{aligned}$$

Where: Operating profit = Revenue – Costs of goods sold - Sales, general, and administrative expenses.

The CBOP/M is the ratio between CBOP and market capitalization. Similarly, at the beginning of July each year, we categorize all sample stocks into deciles according to their CBOP/M from the previous year's end. The monthly value-weighted returns are estimated in the subsequent 12 months. Portfolios are rebalanced annually, resulting in 288 monthly returns for each time series.

3.3 Asset pricing factors

The FTSE All Share Index and the one-month UK Treasury Bill are considered as the market portfolio and risk-free asset, respectively. Their monthly returns are sourced from DataStream.

Firstly, the Fama-French mimic factors are created as follows. Every July, all sample stocks are sorted into Big and Small groups using the median capitalization of the biggest 350 stocks [2]. They are also independently divided into three value groups (High, Medium, and Low) based on the 30% and 70% percentiles of the BM ratios of the biggest 350 stocks. This strategy allows us to build six value-weighted intersecting portfolios: BH, BM, BL, SH, SM, and SL. Their monthly returns are estimated over the following 12 months. The original value factor (HML) is

$$\text{HML} = 1/2 * (\text{BH} + \text{SH} - \text{BL} - \text{SL})$$

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SMB_{HML} is also calculated using the following formula:

$$SMB_{HML} = 1/3 * (SH + SM + SL - BH - BM - BL)$$

The profitability factor (RMW) is constructed through a similar process. After ranking stocks on market capitalization, we independently sorted them into three groups based on the gross profit margin [3]: Robust, Neutral, and Weak. This process creates six portfolios derived from the intersection of market capitalization and profit margin sorts. The profitability factor (RMW) and SMB_{RMW} are:

$$RMW = 1/2 * (BR + SR - BW - SW)$$

$$SMB_{RMW} = 1/3 * (SR + SN + SW - BR - BN - BW)$$

Similarly, the CMA is created from six portfolios double-sorted on market capitalization and changes in total assets. 30% of stocks experiencing the greatest (and lowest) changes are categorized into the Conservative (and Aggressive) group. The investment factor (CMA) and SMB_{CMA}:

$$CMA = 1/2 * (BC + SC - BA - SA)$$

$$SMB_{CMA} = 1/3 * (SC + SN + SA - BC - BN - BA)$$

The size factor (SMB) is:

$$SMB = 1/3 * (SMB_{HML} + SMB_{RMW} + SMB_{CMA})$$

To form the momentum factor, we rank all sample stocks on their lagged return in the previous 11 months (from month t-12 to month t-2). The Winner group includes stocks with the highest past performance, whereas stocks with the lowest past performance are placed into the Loser group. The momentum factor (WML) is:

$$WML = 1/2 * (BW + SW - BL - SL)$$

Secondly, we construct the behavioral financial factor developed by Daniel *et al*. (2020). Every July, sample stocks are also split into Big and Small groups. Then, we independently create three behavioral financing groups using the composite stock issuance (CSI) and net stock issuance (NSI).

$$CSI = \log\left(\frac{\text{Market Capitalization}_t}{\text{Market Capitalization}_{t-5}}\right) - R(t-5, t)$$

$$NSI = \log\left(\frac{\text{Adjusted number of outstanding shares}_t}{\text{Adjusted number of outstanding shares}_{t-1}}\right)$$

Where: R(t-5, t) represents the stock's cumulative logarithmic return over the past five years.

Based on the 30% and 70% breakpoints of the CSI values of the biggest 350 stocks, all firms are categorized into three CSI groups: High, Middle, and Low. The sorting technique for NSI is slightly different due to the presence of numerous negative NSI values. Hence, we initially divide stocks into negative and non-negative classes. In the negative class, all firms with an NSI value below the 50% breakpoint of the negative NSI measures of the biggest 350 stocks are assigned to the Low group. In the non-negative class, all firms with an NSI value higher than 70% breakpoint of positive NSI measures of the biggest 350 stocks are assigned to the

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High group. Stocks that fall into the Low (High) group based on CSI or NSI measures are placed in the Low (High) behavioral financing group, while the remaining stocks are classified as Middle. The intersection of size and behavioral financing groups results in six portfolios. The behavioral financial factor (FIN) is the difference between the average return of low-financing and high-financing portfolios.

Based on these asset pricing factors, we estimate the adjusted returns as alphas in the famous 3-factor, 5-factor, and 6-factor models (Fama and French, 1993, 2015, 2018). Additionally, after testing several asset pricing models, Fletcher *et al*. (2024) discovered that the UK's best model includes five factors: the market, value, profitability, momentum, and behavioral financial factors. Therefore, the Fletcher *et al*. (2024) 5-factor model is also used to calculate adjusted returns.

Finally, we form the NVF by double-sorting stocks on capitalization and the CBOP/M ratio. On the basis of the 30% and 70% percentiles of the CBOP/M ratios of the biggest 350 stocks, firms are classified as Value, Neutral, and Growth. The NVF is:

$$\mathrm{NVF} = 1/2 * (\mathrm{BV} + \mathrm{SV} - \mathrm{BG} - \mathrm{SG})$$

Description and summary statistics of eight factors are given in Tables 1 and 2. The highest mean returns belong to the new value (NVF) and behavioral financing (FIN) factors, respectively, at 0.831% and 0.786%. In contrast, the size factor (SMB) shows the lowest average return, consistent with findings from Foye (2018) and Fletcher *et al*. (2024). The market premium, profitability, and investment factors do not differ statistically from zero at any conventional level. According to panel B of Table 2, except for the CMA, the NVF exhibits positive correlations with others, especially a relatively high correlation with the original value factor HML, at 0.461.

4. Empirical results

4.1 Value's recent travails

We begin our analysis by examining the performance of the original value strategy in the UK from 2000 to 2024. The raw and adjusted monthly returns are provided in Tables 3 and 4. The decile with the highest B/M, at an average value of 2.212, yields a raw mean return of 0.15% per month. Meanwhile, if investors allocate their wealth to the lowest B/M decile, they would incur a monthly loss of 0.64%. Consequently, the original value strategy, a long-short zero-cost portfolio, earns a statistically positive return at 0.79% per month. Notably, most profit arises

Table 1. Description of asset pricing factors

Factors	Description
$R_m - R_f$	The market factor presents the difference in average return between the market portfolio and the risk-free asset
SMB	The size factor presents the difference in average return between small and big portfolios
HML	The original value factor presents the difference in average return between High-B/M and Low-B/M portfolios
RMW	The profitability factor presents the difference in average return between robust and weak portfolios
CMA	The investment factor presents the difference in average return between conservative and aggressive portfolios
WML	The momentum factor presents the difference in average return between winner and loser portfolios
FIN	The behavioral financial factor presents the difference in average return between low-financing and high-financing portfolios
NVF	The new value factor presents the difference in average return between High-CBOP/M and Low-CBOP/M portfolios

Source(s): Author's own work

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Table 2. Summary statistics and the correlation matrix of asset pricing factors

	$R_m - R_f$	SMB	HML	RMW	CMA	WML	FIN	NVF
Panel A: Summary statistics								
Mean	0.212	0.138*	0.279**	0.234	0.318	0.639***	0.786***	0.831***
SD	3.913	1.342	1.556	4.167	3.960	3.475	2.287	2.463
Min	−15.412	−5.410	−4.969	−16.295	−13.656	−17.576	−11.200	−6.023
Max	12.427	5.308	6.086	11.606	13.012	12.086	9.295	12.078
Panel B: Correlation matrix								
$R_m - R_f$	1	–	–	–	–	–	–	–
SMB	0.445	1	–	–	–	–	–	–
HML	0.371	0.350	1	–	–	–	–	–
RMW	−0.031	0.109	−0.201	1	–	–	–	–
CMA	0.056	0.187	−0.184	0.048	1	–	–	–
WML	−0.324	0.096	−0.259	0.156	0.189	1	–	–
FIN	−0.360	0.178	0.132	0.274	0.062	0.330	1	–
NVF	0.153	0.159	0.461	0.018	−0.119	0.072	0.240	1

Note(s): Panel A presents the summary statistics of factors, whereas panel B displays the correlation matrix. Summary statistics include monthly average returns (%), standard deviation (SD), and minimum and maximum values. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

from short-selling the lowest B/M decile rather than holding the top decile. Furthermore, average returns do not consistently decrease as we move from the highest to the lowest B/M deciles. The raw returns of second and third deciles are even higher than the highest B/M. Table 4 presents a similar pattern in adjusted returns. After controlling for asset pricing models, the original value premium drops dramatically, reaching the lowest value of only 0.258% per month. The adjusted returns of the highest B/M decile are close to zero, at only 0.043%, when using the FF 6-factor model. Therefore, we could conclude that the B/M ratio is no longer a reliable predictor of UK stock returns.

To further examine the efficacy of the original value strategy, we separate the sample period into four subperiods, as depicted in Figure 1. In the first subperiod of 2000–2005, the average return of the original value strategy was enormous at 3.08% per month, significant at the 1% level. However, between 2006 and 2010, low-B/M stocks outperform high-B/M stocks, resulting in a negative monthly value premium of −0.54%. In the next subperiod, the value strategy generates a puny return at 0.28% per month, statistically indistinguishable from zero. There is a slight recovery in strategy performance during 2016–2024, with an average monthly profit of around 0.5%.

We also construct 10×3 double-sorted portfolios based on the B/M and market capitalization to investigate whether the size anomaly impacts the original value premium. As illustrated in Table 5, the size effect is irrelevant to the disappointing performance of the original value strategy. Although the difference between high-B/M and low-B/M for small stocks is higher than for big stocks, most of the value premium is concentrated in neutral stocks, with an average monthly return of more than 1%. Additionally, the small-high-B/M portfolio earns a negative average return of −0.2%, contradicting the notion that the original value strategy performs better among small stocks. There is no clear relationship between portfolio returns and B/M ratios across all size terciles. Hence, the size-related factor does not undermine the previous findings.

Despite the superior performance in the pre-2005 period, the original value premium has recently disappeared with a negligible monthly return of only 0.18% between 2006 and 2024. Our findings indicate the absence of a reliable value premium in the UK over the last 2 decades, consistent with the US evidence.

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Table 3. Analysis of deciles sorted on the B/M

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Average B/M	2.212	1.331	1.031	0.808	0.636	0.493	0.381	0.282	0.181	0.066	2.146
Average capitalization ($ billion)	0.532	2.354	2.664	2.747	3.806	3.524	3.128	4.696	5.917	9.146	−8.615
Average monthly return (%)	0.150	0.202	0.203	−0.043	−0.038	−0.082	0.161	−0.062	−0.339	−0.640*	0.790**
	(0.386)	(0.603)	(0.621)	(−0.121)	(−0.107)	(−0.239)	(0.505)	(−0.189)	(−1.000)	(−1.670)	(2.312)

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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Table 4. Adjusted monthly returns (%) of deciles sorted on the B/M

Models	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
CAPM	0.143	0.148	0.155	0.002	0.008	−0.292	−0.035	−0.273	−0.351**	−0.680***	0.622***
	(0.346)	(0.893)	(0.976)	(0.011)	(0.032)	(−1.138)	(−0.149)	(−1.164)	(−2.194)	(−3.119)	(3.041)
FF 3-factor	0.114	0.188	0.245	0.001	0.005	−0.231	−0.027	−0.119	−0.232	−0.461*	0.459***
	(0.311)	(1.062)	(0.983)	(0.031)	(0.116)	(−0.911)	(−0.118)	(−0.518)	(−0.983)	(−1.805)	(2.934)
FF 5-factor	0.104	0.178	0.121	−0.001	−0.003	−0.205	0.012	−0.092	−0.169	−0.456*	0.431**
	(0.413)	(1.066)	(0.853)	(−0.270)	(−0.138)	(−0.807)	(0.517)	(−0.400)	(−0.722)	(−1.772)	(2.432)
FF 6-factor	0.043	0.113	0.193	−0.001	−0.002	−0.110	0.148	−0.052	−0.009	−0.416	0.357***
	(0.171)	(0.786)	(0.759)	(−0.289)	(−0.121)	(−0.423)	(0.621)	(−0.224)	(−0.387)	(−1.584)	(2.153)
Fletcher *et al*. (2024)	0.065	0.282	0.227	0.003	−0.004	0.003	0.005	−0.033	−0.003	−0.214	0.258**
5-factor	(0.225)	(1.020)	(0.869)	(0.572)	(−0.374)	(0.153)	(0.245)	(−0.419)	(−0.295)	(−1.233)	(2.034)

Note(s): FF stands for Fama-French. Adjusted returns are estimated alphas in asset pricing models. The Fletcher *et al*. (2024) model includes the market, original value, profitability, momentum, and behavioral financial factors. t-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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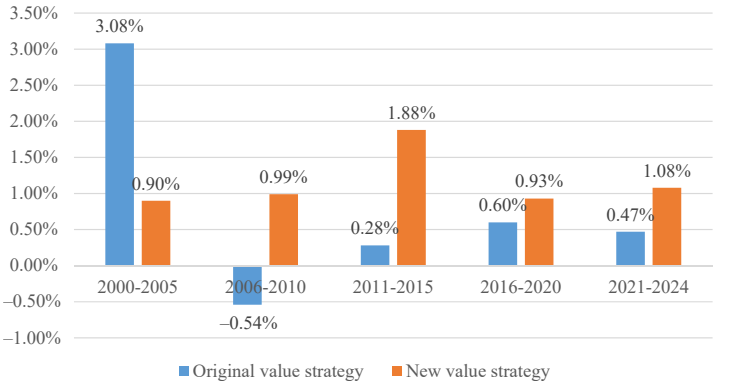


Figure 1. Performance of the original and new value strategies in the UK. Source: Author's own work

The shift toward a knowledge economy is a key driver for the decline of the original value premium. Between 1995 and 2023, the contribution of the UK manufacturing sector to GDP decreased by half, while the service sector made up approximately 73% of GDP in 2023 (Coyle and Mei, 2023). The rise of knowledge-based services such as scientific research, digital technology, and financial activities has rendered book value an insignificant indicator of fundamental value. Furthermore, value stocks are characterized by small capitalization and low liquidity. Holding these small and illiquid stocks led to substantial losses during the 2008 financial crisis and the Brexit referendum. According to Breinlich *et al*. (2018), UK investors anticipated a recession or at least an economic downturn in the days after the vote. During the 2008–2009 and 2016–2017 periods, the original value strategy suffered a loss of around −0.7% per month.

4.2 The performance of new value strategy

Table 6 summarizes the characteristics of deciles ranked by the CBOP/M ratio. Stocks with a high CBOP/M ratio also tend to have a high B/M ratio, averaging 1.5, but have a moderate market capitalization of over $4 billion. In contrast, high (low) B/M firms are typically smaller (bigger) in capitalization. As shown in Table 3, there is an inverse relationship between B/M deciles and market capitalization. The average market capitalizations for the first six CBOP/M deciles are nearly the same, at around $4.5 billion. The three lowest CBOP/M deciles have almost identical B/M ratios and capitalization. Therefore, the new value strategy differs from the original value and size effects.

According to the last row of Table 6, the CBOP/M sort provides a monotone increase in average monthly return. While the top CBOP/M decile yields a monthly profit of 0.584%, the average return of the bottom decile is −0.59% per month. Both returns are statistically different from zero, with t-statistics exceeding 2. As a result, if investors allocate their wealth to the long-short portfolio, they would harvest a hefty profit of approximately 1.18% per month, with a healthy statistic of 3.615. Table 7 shows a similar positive relationship between CBOP/M and adjusted returns. Irrespective of asset pricing models, higher CBOP/M measures correspond to higher adjusted returns. Returns of high-CBOP/M stocks remain strong even after controlling for asset pricing factors. The lowest adjusted return for the new value strategy is roughly 0.5% per month, statistically significant at the 5% level when using the Fletcher *et al*. (2024) model. More importantly, there is a balance between the profits of holding the top decile and short-selling the bottom.

Figure 1 compares the performance of value strategies associated with B/M and CBOP/M. The value premium based on CBOP/M is more substantial and stable than the original. The

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Table 5. Average monthly returns of portfolios double-sorted on the B/M and market capitalization

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Small	−0.201	0.198	0.049	−0.207	−0.488	−0.420	0.023	−0.607	−1.113**	−1.009**	0.808**
	(−0.431)	(0.535)	(0.140)	(−0.496)	(−1.216)	(−1.083)	(0.056)	(−1.463)	(−2.474)	(−2.242)	(2.185)
Neutral	0.332	0.031	0.327	−0.034	0.388	0.376	0.232	0.259	−0.107	−0.715*	1.047**
	(0.774)	(0.078)	(0.841)	(−0.101)	(1.005)	(0.979)	(0.610)	(0.507)	(−0.474)	(−1.961)	(2.552)
Big	0.314	0.364	0.228	0.104	−0.029	−0.224	0.216	0.142	0.170	−0.221	0.535*
	(0.698)	(0.954)	(0.596)	(0.245)	(−0.077)	(−0.574)	(0.720)	(0.439)	(0.247)	(−0.790)	(1.854)

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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Table 6. Analysis of deciles sorted on the CBOP/M

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Average CBOP/M	0.928	0.275	0.176	0.132	0.101	0.075	0.050	0.017	−0.046	−0.454	1.382
Average B/M	1.500	1.015	0.763	0.541	0.646	0.479	0.530	0.526	0.588	0.608	0.892
Average capitalization ($ billion)	4.358	4.185	4.035	5.267	4.663	5.565	6.033	1.493	1.432	1.598	2.760
Average monthly return (%)	0.584**	0.349*	0.323	0.296	0.227	0.216	−0.008	−0.540	−0.570*	−0.592**	1.175***
	(2.386)	(1.662)	(1.429)	(0.927)	(1.033)	(1.108)	(−0.023)	(−1.393)	(−1.698)	(−2.097)	(3.615)

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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Table 7. Adjusted monthly returns (%) of deciles sorted on the CBOP/M

Models	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
CAPM	0.511***	0.316**	0.276*	0.239	0.196	0.187	−0.103	−0.408**	−0.430**	−0.494***	0.917***
	(2.601)	(2.177)	(1.669)	(1.401)	(1.436)	(1.327)	(−0.409)	(−1.998)	(−2.505)	(−2.626)	(4.012)
FF 3-factor	0.434**	0.268*	0.195	0.173	0.153	0.143	−0.058	−0.349**	−0.413**	−0.453**	0.867***
	(2.516)	(1.907)	(1.374)	(1.124)	(0.824)	(0.948)	(−0.236)	(−1.987)	(−2.196)	(−2.398)	(3.587)
FF 5-factor	0.380**	0.250*	0.151	0.122	0.112	0.106	−0.030	−0.285*	−0.288*	−0.338**	0.716***
	(2.342)	(1.794)	(0.986)	(0.819)	(0.630)	(0.712)	(−0.123)	(−1.821)	(−1.857)	(−2.076)	(3.119)
FF 6-factor	0.359**	0.231	0.161	0.098	0.070	0.019	−0.002	−0.231	−0.250*	−0.257**	0.606***
	(2.133)	(1.425)	(0.663)	(0.429)	(0.298)	(0.078)	(−0.060)	(−1.573)	(−1.665)	(−1.972)	(2.733)
Fletcher *et al*. (2024)	0.313**	0.216	0.156	0.080	0.043	0.028	−0.001	−0.210	−0.186	−0.245*	0.532**
5-factor	(2.024)	(1.368)	(0.662)	(0.348)	(0.559)	(0.125)	(−0.035)	(−1.480)	(1.539)	(−1.935)	(2.459)

Note(s): FF stands for Fama-French. Adjusted returns are estimated alphas in asset pricing models. The Fletcher *et al*. (2024) model includes the market, original value, profitability, momentum, and behavioral financial factors. t-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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new value strategy beats the original in 4 out of 5 subperiods. On average, the monthly profit of the new value strategy is 1.18% over the sample period, whereas the original value strategy yields 0.79% per month. In terms of stability, the new value premium stays close to 1%, except for an impressive profit of 1.88% during 2011–2015. By contrast, the analogous average return of the original strategy fluctuates considerably, ranging from 3.08% to −0.54%.

Table 8 presents factor loadings for the long-short portfolio associated with CBOP/M across five asset pricing models. Consistent with the correlation matrix in Table 2, the new value strategy has positive coefficients on the market, original value, profitability, and financing factors. Meanwhile, it exhibits significant negative loadings for the size and investment factors. The momentum factor plays no role in capturing the new value strategy, with insignificant loadings. These asset pricing factors cannot fully explain the superior performance of the CBOP/M strategy, leading to significant alphas (as shown in Table 7) and low adjusted R^2 values.

Given this backdrop, it could be concluded that the new value strategy outperforms the original value strategy throughout the sample period. We document strong evidence that the CBOP/M predicts UK stock returns.

4.3 The new value factor

This section assesses the explanatory power of the NVF based on the CBOP/M. Firstly, we conduct spanning regressions to determine if other asset pricing factors can explain the NVF and, conversely, whether the NVF can explain the others. Each factor is regressed on other asset pricing factors. The last column of Table 9 shows that the NVF exhibits a sizable alpha of 0.358% with a t-statistic of approximately 2.3. Hence, even accounting for other asset pricing factors, the NVF factor provides valuable information regarding UK stock returns. The NVF factor shows significant loadings on the size, original value, and financial factors, aligning with the high correlations between the NVF and these factors, as illustrated in Table 2. Vice versa, the NVF significantly influences the SMB, HML, CMA, and FIN alphas. Notably, the NVF contains critical information regarding the original value factor, making the alpha of the HML insignificant at the 5% level. The loading of HML on the NVF factor is roughly 0.4, with

Table 8. Factor loadings of the new value strategy

Model	CAPM	FF 3-factor	FF 5-factor	FF 6-factor	Fletcher *et al*. (2024) 5-factor
$R_m - R_f$	0.117***	0.211***	0.200***	0.168***	0.144***
	(4.587)	(4.142)	(3.996)	(3.286)	(3.113)
SMB		−0.371***	−0.363***	−0.305***	
		(−6.978)	(−6.842)	(−6.336)	
HML		0.451***	0.511***	0.59***	0.439***
		(4.443)	(4.923)	(5.532)	(3.873)
RMW			0.149***	0.145**	0.105***
			(2.595)	(2.511)	(2.686)
CMA			−0.105*	−0.113*	
			(−1.717)	(−1.847)	
WML				0.083	0.102
				(1.073)	(1.282)
FIN					0.542***
					(4.309)
R^2	0.062	0.143	0.166	0.183	0.194

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Author's own work

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Table 9. Results of spanning regressions

	$R_m - R_f$	SMB	HML	RMW	CMA	WML	FIN	NVF
Alpha	0.110***	−0.140*	0.081	−0.086	0.288	0.391**	0.412***	0.358**
(%)	(3.527)	(−1.800)	(0.789)	(−0.256)	(0.985)	(2.506)	(2.994)	(2.344)
R_m −	–	0.211***	0.036	0.107	0.041	−0.291	−0.223***	0.067
R_f	–	(5.732)	(1.361)	(1.196)	(0.370)	(−3.580)	(−5.496)	(1.197)
SMB	0.560	–	−0.067	0.038	0.493**	0.468	0.432***	0.292**
	(0.354)	–	(−0.646)	(0.156)	(2.493)	(2.203)	(4.619)	(2.153)
HML	0.185	−0.047	–	−0.661***	−0.263	−0.611	0.150	0.256***
	(1.371)	(−0.663)	–	(−2.782)	(−1.168)	(−3.116)	(1.158)	(4.744)
RMW	0.059	0.002	−0.071***	–	−0.031	0.012	0.123***	0.004
	(1.197)	(0.155)	(−3.082)	–	(−0.393)	(0.214)	(3.228)	(0.119)
CMA	0.023	0.038**	−0.029	−0.032	–	0.103	0.029	−0.058
	(0.368)	(2.100)	(−1.172)	(−0.399)	–	(1.672)	(0.866)	(−1.71)
WML	−0.276***	0.026*	−0.112***	0.121**	0.168**	–	0.094***	0.032
	(−3.769)	(1.856)	(−2.900)	(2.212)	(2.264)	–	(3.121)	(0.527)
FIN	−0.619***	0.162***	0.081	0.621***	0.140	0.276	–	0.335***
	(−4.998)	(5.114)	(1.205)	(2.748)	(0.829)	(2.653)	–	(3.863)
NVF	−0.148	0.086**	0.388***	−0.017	−0.221**	0.075	0.265***	–
	(−1.234)	(2.310)	(5.003)	(−0.120)	(−1.653)	(0.531)	(3.682)	–
R^2	0.451	0.369	0.323	0.226	0.183	0.265	0.419	0.368

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels
Source(s): Author's own work

a t-statistic exceeding 5. It is evident that the NVF based on the CBOP/M subsumes the original value factor.

Secondly, we perform the Fama and MacBeth (1973) cross-sectional test by regressing stock returns on estimated loadings of asset pricing factors each month. Time-series averages of coefficients are considered factor premiums, as reported in Table 10. Column 1 displays the

Table 10. Results of Fama-MacBeth cross-sectional regressions

	(1)	(2)	(3)
λ_0 (%)	0.651*	0.473	0.428
	(1.952)	(1.385)	(1.174)
$\lambda_{R_m - R_f}$ (%)	0.128	0.149*	0.160*
	(1.599)	(1.668)	(1.805)
λ_{SMB}(%)	0.187**	0.197**	0.205**
	(2.246)	(2.322)	(2.259)
λ_{HML}(%)	0.205**		0.113
	(2.113)		(1.576)
λ_{RMW}(%)	0.079	0.033	0.024
	(0.218)	(0.644)	(0.464)
λ_{CMA}(%)	0.092	0.018	0.014
	(1.334)	(0.471)	(0.353)
λ_{WML}(%)	0.426***	0.400***	0.413***
	(2.933)	(2.961)	(2.909)
λ_{FIN}(%)	0.532***	0.431***	0.408***
	(4.081)	(3.691)	(3.115)
λ_{NVF}(%)		0.471***	0.466***
		(4.618)	(4.323)

Note(s): *t*-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels
Source(s): Author's own work

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regression, including all factors except for the NVF. Column 2 includes the NVF but not the original HML, whereas the final column incorporates all factors. Column 1 reports a significant original monthly premium (λ_{HML}) of 0.205% (t-statistic = 2.113). However, when we add the NVF in Column 3, the original value premium decreases to 0.113%, roughly half its value in Column 1. The t-statistic also declines to 1.576, which is insignificant at the 5% level. By contrast, the new value premium (λ_{NVF}) remains significant at the 1% level with high t-statistics of more than 4, as presented in both Column 2 and Column 3. The average premium of the NVF is around 0.47% per month. Thus, incorporating the NVF renders the HML factor redundant, while the return predictive power of the NVF is only slightly affected by the presence of HML.

The size, momentum, and financial factors exhibit significant premiums across all columns, while the market factor shows a marginally significant premium at the 10% level. Given that the premiums for profitability and investment are indistinguishable from zero, these factors appear to be irrelevant in explaining UK stock returns.

5. Robustness tests

To fortify the main research results, we perform two robustness tests. In the first test, we examine whether the new value strategy is affected by firm size. We categorize all sample stocks into terciles based on their market capitalization: Big, Neutral, and Small. Each size tercile is sorted into deciles according to their CBOP/M ratios, creating 30 doubled-ranked portfolios. Their raw average returns, FF 6-factor, and Fletcher *et al*. (2024) 5-factor adjusted returns are reported in Table 11. The profitability of the new value strategy persists even after accounting for firm size. As presented in Panel A, the average return monotonically drops as the CBOP/M ratio declines across all size terciles. Although the difference between high-CBOP/M and low-CBOP/M for large stocks is weaker than for small stocks, this strategy consistently generates significantly positive raw returns with high t-statistics. In Panel B, the adjusted returns of the new value strategy are statistically positive. The High Minus Low returns for small and large stocks are approximately 0.8% and 0.4% per month, respectively, both significant at the 5% level. A similar return pattern is witnessed in Panel C. Therefore, although being stronger among small firms, the new value strategy remains profitable after controlling for firm size.

In the second robustness test, we compare alternative asset pricing models with original and new value factors using the mean-variance efficiency of Gibbons *et al*. (1989). This test has been extensively employed in numerous studies in the US (Fama and French, 1993, 2015, 2018) and the UK (Michou and Zhou, 2016; Fletcher, 2019, 2024). Following Fama and French (2015, 2018) and Fletcher (2019, 2024), we use 25 size-B/M portfolios as test assets. The GRS test statistic of Gibbons *et al*. (1989) is:

$$GRS = \frac{T - N - K}{N} * \frac{\widehat{\alpha}' \widehat{\Sigma}^{-1} \widehat{\alpha}}{1 + \overline{F}' \widehat{\Omega}^{-1} \overline{F}} \sim F(N, T - N - K)$$

Where T and N are the numbers of observations ($T = 288$) and test assets ($N = 25$). K is the number of asset pricing factors. $\widehat{\alpha}$ is a (N,1) vector of estimated alphas. $\widehat{\sum}$ is the residual covariance matrix. $\overline{F}$ is a (K,1) vector of average excess returns on explanatory factors. $\widehat{\Omega}$ is the (K,K) factor covariance matrix.

The results of the mean-variance efficiency test are summarized in Table 12. The best-performing model is the Fletcher *et al*. (2024) 5-factor, with p-values more than 0.2. In contrast, the FF 3-factor model performs the worst and is rejected at the 5% significance level. Replacing the HML factor with the NVF factor leads to a significant decrease in the GRS statistics. To illustrate, while the GRS for the original FF 6-factor model is more than 1.4, the FF 6-factor with the NVF has a GRS of approximately 1. A lower GRS value implies a more

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Table 11. The size effect and new value strategy

Panel A. Raw returns (%) on portfolios ranked on market capitalization and CBOP/M

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Small	0.665**	0.240	0.347	0.226	0.092	0.074	−0.113	−0.613	−0.531*	−0.621**	1.286***
	(2.404)	(1.542)	(1.425)	(0.903)	(1.124)	(0.977)	(−0.080)	(−1.330)	(−1.784)	(−2.282)	(3.390)
Neutral	0.651**	0.378*	0.348	0.249	0.374	0.201	0.065	−0.651	−0.596	−0.657**	1.308***
	(2.562)	(1.774)	(1.606)	(1.128)	(1.273)	(1.147)	(0.126)	(−1.393)	(1.578)	(−2.126)	(3.556)
Big	0.449***	0.440	0.275	0.419	0.203	0.362	0.004	−0.368	−0.573	−0.502*	0.952***
	(2.365)	(1.485)	(1.147)	(0.727)	(0.894)	(1.256)	(0.075)	(−1.155)	(−1.527)	(−1.833)	(2.953)

Panel B. The FF 6-factor adjusted returns (%) on portfolios ranked on market capitalization and CBOP/M

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Small	0.457**	0.212	0.222	0.038	0.003	−0.022	−0.232	−0.274	−0.225*	−0.326**	0.803***
	(2.034)	(1.314)	(0.941)	(0.127)	(0.014)	(−0.066)	(−0.733)	(−1.475)	(−1.896)	(−1.982)	(2.648)
Neutral	0.438**	0.329	0.124	0.288	0.082	−0.016	0.133	−0.174	−0.243	−0.271*	0.645**
	(2.003)	(1.385)	(0.654)	(1.051)	(0.271)	(−0.053)	(0.439)	(−0.882)	(−1.606)	(−1.704)	(2.174)
Big	0.181*	0.151	0.129	−0.033	0.133	0.010	−0.226	−0.220	−0.239	−0.242*	0.418**
	(1.909)	(1.040)	(0.836)	(−0.146)	(0.523)	(0.043)	(−0.836)	(−1.603)	(−1.426)	(−1.777)	(1.984)

Panel C. Fletcher *et al*. (2024) 5-factor adjusted returns (%) on portfolios ranked on market capitalization and CBOP/M

	High - 1	2	3	4	5	6	7	8	9	Low - 10	High - Low
Small	0.359**	0.263	0.192	0.095	0.045	0.040	0.029	−0.169	−0.204	−0.292**	0.685**
	(2.398)	(1.529)	(0.895)	(0.374)	(0.518)	(0.216)	(0.212)	(−1.281)	(−1.446)	(−2.083)	(2.503)
Neutral	0.325**	0.257	0.184	0.111	0.043	0.033	0.043	−0.277*	−0.208	−0.236*	0.513**
	(2.074)	(1.658)	(0.716)	(0.402)	(0.613)	(0.120)	(0.347)	(−1.858)	(−1.572)	(−1.911)	(2.237)
Big	0.207*	0.159	0.113	0.075	−0.001	0.020	0.073	−0.179	−0.162	−0.205*	0.408**
	(1.911)	(0.672)	(0.654)	(0.321)	(−0.005)	(0.115)	(0.265)	(−1.374)	(−1.480)	(−1.810)	(1.969)

Note(s): FF stands for Fama-French. Adjusted returns are estimated alphas in asset pricing models. The Fletcher *et al*. (2024) model includes the market, original value, profitability, momentum, and behavioral financial factors. t-statistics are reported in parentheses. Significance is at the *10%, **5%, and ***1% levels

Source(s): Authors' own work

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Table 12. Results of the mean-variance efficiency test

Models	With the original value factor		With the new value factor	
	GRS	*p*-value	GRS	*p*-value
FF 3-factor	1.934	0.006	1.668	0.027
FF 5-factor	1.753	0.017	1.362	0.122
FF 6-factor	1.424	0.092	1.090	0.354
Fletcher *et al*. (2024) 5-factor	1.208	0.232	0.923	0.620

Note(s): This table reports GRS statistics and their *p*-values for asset pricing models with original (HML) and new (NVF) value factors. For example, the original FF 3-factor includes $R_m - R_f$, SMB, and HML; whereas the new FF 3-factor includes $R_m - R_f$, SMB, and NVF

Source(s): Author's own work

substantial explanatory power of asset pricing models. Hence, the NVF explains UK stock returns better than the original factor based on the B/M ratio.

6. Conclusion

The recent dismal performance of the original value strategy in the US has led many academicians and investors to question whether value investing is dead. Despite intensive evidence supporting this trend in the US, no similar investigation has been conducted in the UK, the largest equity market in Europe. Therefore, we commence our analysis by examining the original value premium based on the B/M in the UK from 2000 to 2024. Compared to the early 2000s, the last 2 decades (post-2006) have experienced a severe predicament for the UK value strategy, mirroring the US trend. Between 2006 and 2024, the original value premium is negligible, at just 0.18% per month.

Following Ball *et al*. (2016) and Wang (2024), we introduce a new value strategy focusing on CBOP. This strategy achieves an average monthly return of approximately 1.18%, accompanied by a healthy statistic of 3.615. Notably, this significant return cannot be explained by the asset pricing models developed by Fama and French (1993, 2015, 2018) and Fletcher *et al*. (2024). In terms of stability, the new value premium remains close to 1%, except for an impressive profit of 1.88% during 2011–2015. Our empirical analysis demonstrates the robust performance of the UK new value strategy over recent decades.

Finally, we evaluate the explanatory power of the NVF based on the CBOP/M. The NVF subsumes the original value factor and delivers a substantial alpha in spanning regressions. In Fama-MacBeth regressions, its premium is statistically significant, at about 0.47% per month. Hence, the NVF contributes to the explanation of UK stock returns.

For robustness, we double-sort stocks on their market capitalization and the CBOP/M to assess whether the new value strategy is affected by firm size. Although the strategy shows weaker performance among big stocks, it remains profitable across all size terciles. According to the mean-variance efficiency test, substituting the original with the NVF enhances the explanatory power of asset pricing models.

The findings present several essential implications. First, investors may place their wealth in the trading strategy focusing on the CBOP/M to earn abnormal returns in the UK market. However, they should pay attention to transaction costs and income taxes, which are not addressed in this article. Since portfolios are rebalanced annually, investors incur trading charges and stamp duty only once a year, leading to a minimal impact of transaction costs on profitability. As shown in Table 6, the average capitalizations for the high- and low-CBOP/M deciles are $4.358 and $1.598 billion, respectively. Hence, stocks in the new value strategy are not small or illiquid equities, making it a viable trading strategy. Second, the B/M is no longer a reliable predictor of UK stock returns. It should be replaced by the CBOP/M in asset pricing models to estimate expected stock returns in the UK better. Due to the UK's transition toward a

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knowledge economy, the CBOP should be incorporated into investment education to evaluate firm intrinsic values accurately. Third, this research opens the door to new asset pricing studies. Further research could explore the sources of this new value premium, especially whether the outperformance of the CBOP/M results from higher risk or investor behaviors.

Notes

1. Fama and French (1993) suggest that financial stocks are excluded due to their high leverage, a distinctive feature compared to non-financial stocks.
2. Since the UK market is characterized by a huge number of small stocks, many papers, including Foye (2018), and Fletcher *et al*. (2024), use the breakpoint of the largest 350 firms rather than the median of all firms as proposed by Fama and French (1993, 2015).
3. Foye (2018) and Fletcher *et al*. (2024) show that the profitability factor based on gross profit better explains UK stock returns.

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